

State Bank Of India vs Ashok on 21 November, 2025

IN THE COURT OF
SH. N. K. MALHOTRA
DISTRICT JUDGE, (COMMERCIAL COURT)-06,
EXTENSION BLOCK, WEST DISTRICT,
TIS HAZARI COURTS
DELHI

CNR No. DLWT010045542025
CS(COMM) 393/2025

State Bank of India,
Constituted under State Bank of Act,1955
having its Corporate Centre Office at
State Bank Bhawan, Nariman Point
Mumbai and one of its local head office
at 11, Parliament Street, New Delhi and
also having so many branches in all over
India including one i.e. State Bank of India,
Subhash Nagar Branch at D-1, Ajay Enclave,
Subhash Nagar, New Delhi-110027.

....Plaintiff

Versus

Ashok,
S/o Mr. Gopi Ram
R/o House No.3/326, Trilok Puri,
Patparganj, Delhi-110091.

....Defendant

Date of Institution	: 13.05.2025
Date of Arguments	: 21.11.2025
Date of Judgment	: 21.11.2025

Suit for recovery of Rs. 10,34,379/-.

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JUDGMENT

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1. Vide this judgment I am deciding the suit for recovery of Rs. 10,34,379/- filed by the plaintiff against the defendant.

2. In the plaint, it is mentioned that plaintiff is a nationalized bank constituted under the State Bank of India Act, 1955 having its Corporate Centre at State Bank Bhawan, Madam Cama Road, Nariman Point, Mumbai and one of its local head office at 11, Parliament Street, New Delhi-110001. The present suit is signed and verified by Mr. Siddhant Agarwal, Branch Manager of the plaintiff bank who is fully conversant with the facts of the present case on the basis of the records maintained by the plaintiff bank in ordinary course of its business. The plaintiff bank is engaged in the business of financing and providing various types of credit facilities to its various customers as per Government policies and the policies of bank.

3. The defendant approached the plaintiff bank at its D-1, Ajay Enclave, Subhash Nagar branch, New Delhi for financial assistance. Acting on the representation made by the defendant, the plaintiff granted a personal loan of Rs.12,07,100/- in terms of term loan under MC-TL-Xpress Credit Apr21 scheme @ 11.10% p.a. in the credit/loan account No. 40603188194 vide execution of letter of arrangement which was sanctioned on 25.11.2021 for 72 months in monthly installment of Rs.23,038/-. A loan account bearing no. 40603188194 was opened in the loan ledger of the plaintiff bank in the name of defendant. The documents executed by the defendant were duly filled in and also CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 2 of 12 read over and explained to the defendant. It was agreed under the loan documents that the rate of interest on the loan will be charged at 11.10% p.a. In the event of default in payment of any installment or any irregularity in the loan account, penal interest @ 2% per month over the stipulated interest rate with monthly rests will be charged for the irregular amount and overdue period. It is further averred that as per the Arrangement Letter and Personal Loan Agreement, the defendant shall keep updated/regularized/standard its loan account by depositing the EMIs in its loan account punctually in terms of the above said loan agreement regularly time to time or as per instruction of plaintiff bank. However, the defendant willfully and intentionally did not paid the EMI to the plaintiff bank despite repeated communications by the plaintiff bank to the defendant. The defendant in consideration of said credit/loan facility, executed documents of loan alongwith loan agreement in favour of the plaintiff bank for repayment of due alongwith interest thereon. The account of the defendant was declared as NPA on 25.03.2024 in accordance with RBIs norms. The plaintiff bank sent a legal notice dated 09.11.2024 calling upon the defendant to pay the outstanding amount. The plaintiff approached the Ld. Secretary, DLSA (West) but the matter was not compromised and Non Starter Report dated 17.03.2025 was issued. It is prayed by the plaintiff that a decree of Rs.10,34,379/- be passed in favour of the plaintiff and against the defendant. Plaintiff has also claimed interest@ 18% p.a. from 26.10.2024 till realization with costs.

4. Notice of the suit was sent to the defendant.

CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 3 of 12 Defendant has filed written statement and has taken preliminary objections that the suit is a blatant abuse of the process of law. The defendant is an illiterate person and has received a call from the plaintiff's bank officials for loan. The officials of the plaintiff bank had visited the defendant's house and got signatures on blank papers. As per the averments of the plaintiff's bank, the loan account of the defendant was declared NPA on 25.03.2024 but the plaintiff bank has stated in para 17 of the plaint that the last payment of Rs.23038/- in the loan account of defendant was received on 26.04.2025. The defendant has not

received any notice from the plaintiff's bank prior to declaration of NPA to the defendant/s loan account. The defendant has almost paid amount to the said loan. The defendant is a safai karamchhari in the MCD department and he was getting salary of Rs.45,736/- and his cibil score was 529 only despite this fact, the plaintiff bank has sanctioned the loan of Rs.12,07,100/-. The bank officials of the plaintiff bank has sanctioned these type of loan without properly verifying the correct position of the lender and took 15-20% of the loan amount illegally. The defendant further submitted that he is a Govt. employee of the MCD department and the MCD department was not paying the employee's salary on time and due to this reason, some EMIs were bounced. The plaintiff bank has not executed any loan agreement with the defendant and hence the defendant is not liable to pay any amount. It is further submitted that the present suit has been filed without any cause of action. In respect of the loan, it is mentioned that the plaintiff bank has not filed any Authorization letter/board resolution in favour of Siddhant Agarwal, Branch Manager to file the present suit. It is denied that defendant has approached the plaintiff bank CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 4 of 12 having its branch for financial assistance. It is denied that it was agreed by the defendant that the rate of interest on the loan will be charged at 11.10% p.a. on daily reducing balance at monthly rest which is 4.40% above the two year marginal cost of fund based lending rate. It is also denied that in the event of default in the payment of any installment or any irregularity in the loan account, penal interest @ 2% per month over the stipulated interest rate with monthly rests will be charged. Other averments of the plaint are denied. Dismissal of the suit is prayed by the defendant.

5. Plaintiff has filed replication and has controverted each and every allegations made in the written statement and further re-affirmed the averments made in the plaint.

6. On 18.08.2025 following issues were framed by this Court:-

Issues

(i) Whether the plaintiff is entitled for recovery of Rs.10,34,379/- from the defendant, as prayed ? (OPP)

(ii) Whether the plaintiff is entitled to the interest on the amount of Rs. 10,34,379/-, if yes, then at what rate and for what period ? (OPP)

(iii) Relief.

7. In evidence, Sh. Siddhant Agarwal, Authorized Representative of the plaintiff bank appeared as PW1. This witness filed affidavit on the lines of the plaint and has proved CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 5 of 12 the copy of Gazette of India dated 02.05.1987 as Ex.PW-1/A1, copy of loan application dated 25.11.2021 as Ex.PW-1/2, copy of Appraisal cum Sanction Report dated 25.11.2021 as Ex.PW-1/3 (colly), copy of Arrangement letter and personal loan agreement dated 25.11.2021 as Ex.PW-1/4 (colly), copy of undertaking as Ex.PW-1/5, copy of legal notice dated 09.11.2024 and its postal receipt as Ex. PW-1/6 and Ex.PW1/7, loan account statement of defendant as Ex.PW-1/8 (Colly), the certificate of Non Starter Report dated 17.03.2025

as Ex.PW-1/9, the affidavit under Section 63 of Bhartiya Sakshya Adhiniyam 2023 as Ex.PW1/10, the certificate under Section 2(a) of the Bankers' Book of Evidence Act as Ex.PW1/11 and the certificate by way of affidavit under Order 11 Rule 6(3) of the Commercial Courts Act, 2015 as Ex.PW1/12.

8. In cross examination, this witness deposed that he is working with the plaintiff bank since the year 2016. At present he is posted as Branch Manager, SBI, Subhash Nagar, Delhi and he joined this branch on 03.06.2024. He stated that he had filed only copy of Gazette dated 02.05.1987 and he had not filed any Board Resolution in his favour. He stated that as per Gazette dated 02.05.1987, he is authorized to file the present suit and give evidence. The defendant has approached the plaintiff bank for loan in November, 2021. The identification documents of the defendant were checked within 1-2 days. The defendant has filed loan application on 25.11.2021 and on the same day the identity documents and other documents were checked. He admitted that plaintiff bank used to check CIBIL score of any party, who intends to take loan. This witness stated that as per the recent CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 6 of 12 guidelines of the bank, the plaintiff used to grant loan to any person whose CIBIL score is above 650. He stated that the CIBIL Score of the defendant was 677. The defendant has not signed the documents in his presence. He was not posted in the Branch at that time. The documents were printed at the plaintiff branch at about 7:56 PM on 25.11.2021. This witness admitted that plaintiff used to do Marketing and its official contact the persons to give loan. He also admitted that some times the official of the plaintiff bank used to collect the documents from the residence of the customers. He admitted that sometimes loan documents also used to get signed from the customers from his residence. This witness also stated that as per current guidelines if any customer fails to pay the dues for consecutive three months then account of the customer is declared as NPA. He stated that he cannot tell without perusing the bank record as to when defendant had committed first default. The EMIs are paid through standing instructions on a fixed date and every month. This witness also stated that since the loan was sanctioned on 25.11.2021 and defendant used to make payment of installment on 25th day of every month. This witness also stated that the defendant has given standing instructions to debit his account for payment of installments. The defendant has lastly made the payment of Rs. 47,000/- on 29.11.2023.

9. On the other hand, the defendant has not come forward to lead any evidence.

10. I have heard Ld. Counsel for the plaintiff and perused the record carefully. My issue wise findings are as CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 7 of 12 under:-

Issue No. (i) Whether the plaintiff is entitled for recovery of Rs.10,34,379/- from the defendant, as prayed ? (OPP)

11. The burden to prove this issue is on the plaintiff. To prove this issue, the plaintiff has examined its authorized representative Sh Siddhant Agarwal. This witness has proved the the copy of Gazette of India dated 02.05.1987 as Ex.PW-1/A1, copy of loan application dated 25.11.2021 as Ex.PW-1/2, copy of Appraisal cum Sanction Report dated 25.11.2021 as Ex.PW-1/3 (colly), copy of Arrangement letter and personal loan agreement dated 25.11.2021 as Ex.PW-1/4 (colly), copy of undertaking as

Ex.PW-1/5, copy of legal notice dated 09.11.2024 and its postal receipt as Ex. PW-1/6 and Ex.PW1/7, loan account statement of defendant as Ex.PW-1/8 (Colly), the certificate of Non Starter Report dated 17.03.2025 as Ex.PW-1/9, the affidavit under Section 63 of Bhartiya Sakshya Adhiniyam 2023 as Ex.PW1/10, the certificate under Section 2(a) of the Bankers' Book of Evidence Act as Ex.PW1/11 and the certificate by way of affidavit under Order 11 Rule 6(3) of the Commercial Courts Act, 2015 as Ex.PW1/12.

12. I have carefully perused these documents. I have also perused the written statement filed by the defendant. In the preliminary objection it is mentioned that last payment of Rs. 23038/- was made by the defendant on 26.04.2025. It is also mentioned by the defendant in the written statement that CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 8 of 12 defendant has almost paid amount to the said loan. Defendant has also mentioned that as the MCD department was not making the payment of salary to him on time and due to this reason, some EMIs were bounced. Thus in view of clear admission, it can be said that the defendant has taken the loan from the plaintiff. Moreover, PW1 has proved all the relevant documents. The defendant in the admission/denial of documents has admitted the loan application as Ex.P-1. The defendant has also admitted the personal loan agreement as Ex.P-2. Thus, execution of loan agreement is admitted by the defendant. The defendant has also received the legal notice and this document is also admitted by the defendant during admission/denial of documents. Thus, it can be said that defendant has executed the loan agreement in favour of the plaintiff. Moreover, nothing fruitful has come during the cross examination of PW1 to doubt the veracity testimony of PW1.

13. It is the contention of ld counsel for defendant that cibil score of defendant was 529 only and despite this fact, the plaintiff bank had sanctioned the loan of Rs.12,07,100/-. PW1 during cross examination has categorically stated that the CIBIL Score of the defendant was 677. This witness also stated that as per the recent guidelines of the bank, the plaintiff used to grant loan to any person whose cibil score is above 650. Thus the contention of ld counsel for defendant can not be sustained. Nothing fruitful extracted from the cross examination of PW1.

14. The other contention raised by ld counsel for defendant is that the officials of the plaintiff bank had taken the CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 9 of 12 signature of the defendant at the residence of the defendant so no reliance can be given to the documents executed by the defendant. I am not in agreement with the submission of ld counsel for defendant as it is to be seen whether the defendant has executed the loan documents or not.

The defendant has admitted to execute the loan documents and admitted the loan application as Ex.P-1 and the personal loan agreement as Ex.P-2. Thus this contention of ld counsel carries no force.

15. In the present case, it has come during the cross examination of PW1 that the defendant has given standing instructions to debit his account for payment of the installments. PW1 has also stated that defendant has lastly made the payment of Rs.47,000/- on 29.11.2023. I have perused the statement of account. As per this statement of account, a sum of Rs.8,81,699.80 paise was due towards the defendant as on 25.03.2024. Thus I am of the view that plaintiff is entitled for a sum of

Rs.8,81,699.80 paise from 25.03.2024. This issue is accordingly decided in favour of the plaintiff and against the defendant.

Issue No. (ii) Whether the plaintiff is entitled to the interest on the amount of Rs.10,34,379/-, if yes then at what rate and for what period ? (OPP)

16. Ld counsel for plaintiff has claimed interest @ 18% p.a. As per the arrangement letter, the defendant undertook to pay CS(COMM) 393/2025 State Bank of India Vs Ashok Page No. 10 of 12 interest @ 11.10% p.a. I am of the view that interest claimed by the plaintiff is very excessive and not as per the prevailing market rate of interest. Reliance can be placed in this regard on the judgment of Central Bank of India Vs Ravindra & Ors MANU/SC/0663/2001 passed by Hon'ble Supreme Court of India. In this judgment it is held that according to Stroud's Judicial dictionary of Words and Phrases interest means, inter alia, compensation paid by the borrower to the lender for deprivation of the use of his money. In Secretary, Irrigation Department, Government of Orissa & Ors Vs G. C. Roy Manu SC/0297/1992 1992) 2 SCC 508, it is held that the constitution bench opined that a person deprived of the use of money to which he is legitimately entitled has a right to be compensated for the deprivation, call it by any name. It may be called interest, compensation or damages. This is the principles of Section 34 CPC.

17. In this judgment, Judgment of Dr. Shamlal Narula Vs CIT Punjab MANU/ SC/0109/1964 (53) was also relied upon wherein it is held that interest is paid for the deprivation of the use of the money. In this judgment it is also held that in whatever category "interest in a particular case may be put, it is a consideration paid either for the use of money or for forbearance in demanding it, after it has fallen due, and thus, it is charge for the use of forbearance of money. In this sense, it is a compensation allowed by law or fixed by parties, or permitted by customs or usage, for use of money, belonging to another, or of the delay in paying money after it has become payable.

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18. Reliance can also be placed on the judgment of Aditya Mass Communication (P) Ltd Vs APSRTC MANU/SC/ 0759/2003 wherein Hon'ble Supreme Court granted interest @12% p.a. Reliance can also be placed on the judgment of "M/s IHT Network Limited Vs. Sachin Bhardwaj" in RFA No. 835/2016 & CM Appl.14617/2020 wherein the Hon'ble High Court of Delhi has granted interest @12% per annum. Accordingly, the plaintiff is entitled to interest @ 11.10% p.a. on the amount of Rs.8,81,699.80 paise from 25.03.2024 till realization.

RELIEF:

19. In view of my above discussions, the suit of the plaintiff is decreed and a decree of Rs.8,81,699.80 paise is passed in favour of the plaintiff and against the defendant. The plaintiff is also entitled to interest @ 11.10% per annum on the amount of Rs.8,81,699.80 paise from 25.03.2024 till realization of the decretal amount. Plaintiff is also entitled to the cost of the suit. Decree sheet be prepared accordingly. File be consigned to record room, after necessary compliance.

Announced in the open court on 21.11.2025. (N. K. Malhotra) Distt. Judge, (Comm. Court)-06, Digitally signed West District, Extension Block, by NARESH NARESH KUMAR THC, Delhi/21.11.2025 KUMAR MALHOTRA MALHOTRA Date:

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